

Nine Questions Before You Retire:

The Conversation Most Couples Haven't Had

By Jason Herring

with Steve Gibbs, JD, AEP®

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ABOUT THE AUTHORS

Jason Herring has spent sixteen years inside the life insurance industry, first as a wholesaler training advisors at Hartford and Prudential, now as a Pro Client Guide at Insurance and Estate Strategies, where he sits across from clients in the years immediately before and after retirement. He works with both whole life and indexed universal life, and recommends based on what fits the client rather than what fits a single product line. His specialty is the distribution phase, turning the assets a client spent decades accumulating into income they can actually live on. He is licensed in all fifty states, holds Series 6, 63, and 65 licenses, and lives in Nashville with his wife of twenty-five years and their three daughters.

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Introduction

You already know something is wrong.

That's why you downloaded this book. You've been saving for thirty or forty years. You've done what you were told. You have a 401(k), maybe an IRA, maybe a brokerage account you built on your own. The numbers on your statement are bigger than they've ever been. And still, somewhere around age fifty-five or sixty, something started bothering you that you can't quite name.

Let me try to name it for you.

The plan you have is a plan for the years you've already lived, not the years you're about to live.

Everything about how your money was managed, the funds your advisor picked, the 401(k) match you chased, the rebalancing, the *stay the course* conversations every time the market dropped, was built for one job. Accumulation. Building the pile. Your advisor has been good at that job, and the market has cooperated for most of the last fifteen years, so the pile grew.

But you're not accumulating anymore. You're about to start drawing down. And drawing down is a different problem than building up. Different math. Different risks. Different tools. Different conversations. And nobody, as far as you can tell, is having those different conversations with you.

I've been doing this work for sixteen years. I've sat across from more than a thousand prospective clients in that time, most of them within five years of retirement on one side or the other. The pattern I see is the same almost every time. The client comes in with a statement. The statement shows a substantial number. They sit down across from me and say some version of *we think we're okay, we just want to make sure*.

Then I ask the first question.

How much monthly income will you need in retirement?

The room goes quiet.

Not because they don't know. Because no one has ever asked them.

Their advisor never asked. Their 401(k) plan administrator never asked. The financial media they've been consuming for thirty years never asked. Every conversation has been about the pile. Nobody has asked what they're going to do with the pile.

The Conversation Most Couples Haven't Had

A few months ago a couple sat across from me. Both sixty-six. Married thirty-eight years. Six hundred thousand in retirement assets. House paid off. They came in to make sure they were okay.

By the end of the meeting, the wife had gone pale, and her husband reached over and put his hand on hers. They had walked into my office believing they had a plan, and they had walked into the answer to a question neither of them had ever been asked. They didn't know what would happen to her income if he died first. They didn't know what would happen to their portfolio if the market dropped forty percent in their first year of retirement. They didn't know how much they would actually spend in the lifestyle they wanted versus the lifestyle they had been told to settle for.

They had been married for thirty-eight years. They had been planning their retirement for at least the last five. And they had never had this conversation. Not with each other. Not with an advisor. Not with anyone.

That's the conversation this book is about. The book is built around nine questions I ask every client over fifty-five who walks into my office. Read them. Answer them yourself as you read. If you're married, read them with your spouse. The questions you can answer without hesitation are the ones that tell you what's working. The ones you can't answer are the ones that tell you what's missing.

Most clients can't answer most of them. That's not a failure. It's the consequence of a system that never asked.

Why You Haven't Had It

The financial services industry runs on incentives, and the incentives shape the advice. Most advisors are paid on assets under management. When you move money out of their management, when you turn the pile into income, their compensation goes down. The structural incentive is to keep you invested. Keep the pile growing. Recommend the 4% rule. Defer the actual distribution question for as long as possible.

I'm not accusing your advisor of bad faith. Most of them genuinely believe staying invested is the right plan. They were trained that way. The training is calibrated for accumulation, not for the distribution phase you're entering, and the conversation you needed to be having for the last five years isn't a conversation your advisor was equipped to start.

So they didn't.

Now you're close enough to retirement that you can feel the gap. That's why you downloaded this book.

What This Book Is and Isn't

This book is not a textbook. It will not teach you to be your own retirement income specialist. It will not give you enough information to replace the conversation you need to have with someone who does this work every day. If you finish this book expecting to execute a complete distribution plan on your own, you'll be disappointed, because that's not what a book this length can do, and anyone who tells you otherwise is selling you something.

Here's what this book will do.

It will walk you through the nine questions. It will name the specific risks you're exposed to that nobody has named for you. It will introduce you to the tools, guaranteed income strategies, cash value life insurance structured for distribution, sequence-of-returns protection, that exist to solve the problems your current plan doesn't solve. It will show you what the architecture looks like applied to two real couples, with real numbers, in real meetings. And it will be honest about when this kind of planning fits and when it doesn't.

If you finish the book and realize you have a plan that actually works for the distribution phase, that's a real outcome. You'll have read enough to confirm it.

If you finish and realize you don't have one, that what you have is an accumulation plan with a 4% rule bolted onto it, then the next step is a conversation. Not more reading. Not more research. A conversation with someone who does this work and can look at your specific numbers and tell you what you're missing.

That's the whole point. To help you figure out which of those two readers you are.

Let's start.

Chapter 1: The Trap You Didn't Know You Were In

The clients I sit across from every week did everything right.

They saved for forty years. They lived below their means. They followed the advice. They have 401(k)s and IRAs and savings accounts and paid-off houses. By every metric the financial industry uses to measure success, they succeeded. By every other metric, the ones that actually matter to someone about to retire, they hadn't been told the second half of the story.

They sit in my office uneasy.

Not because they did something wrong. Because the system they trusted to take care of them quietly stopped being the right system for them somewhere around age fifty-five, and nobody told them. They outgrew it. The plan they had was built for a person they used to be, and they had become someone else, and nobody noticed except them.

This is the trap. And almost every reader of this book is sitting inside some version of it right now.

The Lifecycle Nobody Taught You

Your financial life has three phases. Accumulation, distribution, succession.

Accumulation is the part you know. You worked. You saved. You let the market do what the market does over thirty or forty years. You weathered downturns because you had time to weather them. You watched the balance grow and you measured your progress by the number on the statement. The job in accumulation is to build the pile. You did the job.

Distribution is the part nobody taught you. It's the part where you stop adding to the pile and start drawing from it. The math is different. The risks are different. The tools are different. The conversations are different. And almost everything you learned during accumulation either doesn't apply or works against you in distribution.

Succession is the third phase, the part where what's left passes to the people you love. We'll get to that later in the book. For now, the phase that matters is the one you're walking into.

Most clients I work with have never heard the lifecycle described this way. Their advisor has been treating retirement as a continuation of accumulation, with maybe a small adjustment to

the asset mix and a 4% withdrawal rule layered on top. That's not distribution. That's accumulation with a leak in it.

Distribution is its own discipline. It has its own architecture, its own protective tools, its own diagnostic. The reason you're feeling something is wrong is that you've reached the boundary of phase one and nobody walked you across it. You're standing at the edge of a country you've never been to, holding a map of the country you're leaving.

You Cannot Take Your Statement to the Grocery Store

Here's the line I tell every client.

You cannot take your brokerage statement to the grocery store and use it to buy groceries. You have to convert it to cash. And the way you convert assets to cash in retirement is the entire question your advisor hasn't been answering.

Most of my clients walk in with a binder. They've printed the spreadsheet. They've written down the numbers. They sit down and tell me some version of *we think we're okay, we just want to make sure*. They have a number. The number is real. The number is also not a plan.

A number is a starting point. A plan is what turns the number into monthly income that doesn't run out, doesn't depend on the market behaving in a particular way, and doesn't collapse if one of you dies before the other. Most clients don't have a plan. They have a statement balance and the assumption that someone, somewhere, will turn it into the right thing when the time comes.

That assumption is what this book is about.

Why Your Advisor Didn't Teach You

Most financial advisors are trained to focus on accumulation. The licensing programs, the firm trainings, the industry conferences, almost all of it is about building wealth, not about converting wealth into reliable income. Distribution-phase planning is treated as a specialty rather than a core competency. Some advisors have been in the business for twenty years and have never been formally trained to manage a client through it.

So the conversation you needed to be having for the last five years isn't a conversation your advisor was equipped to start. It's not bad faith. It's the structure of how advisors get trained.

The 4% Rule Is Not a Plan

The advice most readers will recognize is the 4% rule. Pull out four percent of your portfolio per year, adjusted for inflation, and historically, the math says you'll be fine for thirty years.

The 4% rule is a probability estimate. It's not a guarantee. It's been calculated against historical market data that may or may not predict the next thirty years. If the market doesn't cooperate the way it cooperated for the last forty, the 4% rule fails. It's failed before. It will fail again for somebody. The question is whether that somebody is you.

Your advisor will not frame it that way. Your advisor will show you historical charts and probability bands and a smooth-looking projection that suggests the rule has held up across most periods. They will tell you to stay the course. They will tell you that volatility is the price of returns. They will tell you that panic-selling at the bottom is the worst thing you can do.

Every word of that is true in the accumulation phase. None of it is a plan in the distribution phase.

The next chapter walks through what happened to a man whose advisor told him exactly that, in exactly that tone, at exactly the wrong moment in his life. His name is Carl. He retired in 2007. The story is hard to read.

What's Actually Coming for You

Three things, more than anything else.

The market can take your retirement away in the years that matter most. Sequence-of-returns risk is the technical name. Carl is the human name. A market crash in the first five years of retirement does damage that's structurally different from a crash during your accumulation years, because you're withdrawing instead of contributing. The math is asymmetric and brutal. Chapter 2 walks through it.

Your income disappears if your spouse dies. When one spouse passes, the surviving spouse loses one of the two Social Security checks. They keep the larger one. The smaller one is gone. If there's a pension, the election made years ago determines whether that income continues or stops too. Most couples have not done this math. Most couples don't even know the math exists. Half of every couple, eventually, lives through the math anyway. Chapter 3 names this directly. Chapter 4 walks through how to close it.

You don't have an income plan. You have a number, an advisor who's been telling you to stay the course, and a 4% rule that depends on the market behaving for the next thirty years the way it behaved for the last fifteen. That's not a plan. That's a hope inside a strategy that was never built to do the job you now need it to do.

You've Already Won the Race

Here's the part most clients haven't given themselves permission to feel.

You spent forty years building what you built. You earned the savings. You earned the paid-off house. You earned the option of a retirement that doesn't ask you to keep grinding. The race is over. You won.

The only way to lose now is if you keep running.

Most of the people I work with have been running so long they don't know how to stop. They've been told for forty years that the answer to every financial question is *stay invested, stay the course, keep growing the pile*. That's the right answer in accumulation. It's the wrong answer the moment you cross into distribution. The new answer is *protect what you built, convert what needs to be converted into reliable income, and let the rest of the portfolio do its job without your retirement depending on it*.

Your grandparents knew how to stop. They had pensions. They had Social Security on top of pensions. The income side of their retirement was guaranteed by somebody else. They could relax because the part of their retirement that absolutely had to work didn't depend on the market.

You don't have a pension. Almost nobody under sixty does. The corporations decided pensions were too expensive and shifted the entire risk of retirement onto you. The 401(k), originally designed as a supplement to a pension, became the whole show. The longevity risk, the investment risk, the sequence risk, all of it is now your problem. You did not sign up for that, but it happened anyway, and here you are.

The architecture exists to fix it. The tools exist. The planning exists. The question is whether someone has walked you through it, and the answer for almost every reader of this book is *no, not yet*.

What Comes Next

The next chapter is about Carl. It's about what happens when an accumulation plan meets a distribution-phase market and there's no architecture underneath to catch the fall. It's the single most important chapter in this book because it names the risk most readers are exposed to without knowing it, and a risk no traditional retirement vehicle is built to defuse.

After that, I'll walk you through the conversation I have with every client over fifty-five who comes through my door. Not a sales pitch. A diagnostic. Nine questions, in order. By the end of those nine questions, most clients realize they don't have the thing they thought they had. They have a number. They don't have a plan.

From there, we get into the tools.

For now, the only thing I want you to take from this chapter is the diagnosis. The system you trusted is built for the years you've already lived, not the years you're about to live. Your advisor isn't going to walk you through this because nobody trained them to. The good news is that once you see the trap, the way out becomes visible.

Let's keep going.

Further Reading

How Whole Life Insurance Functions in a Retirement Income Plan

<https://www.insuranceandestates.com/whole-life-insurance-retirement/>

IUL vs. 401(k): Why the Standard Withdrawal Model Falls Short

<https://www.insuranceandestates.com/iul-vs-401k/>

Best Annuity Rates: Understanding Guaranteed Income in Today's Market

<https://www.insuranceandestates.com/best-annuity-rates/>

Chapter 2: What Happened to Carl

In 2007, a man we'll call Carl retired.

He was in his sixties, healthy, married, and as financially prepared for retirement as almost anyone you'll ever meet. Carl had been an executive at a semiconductor company, a real company, doing real work, building products that mattered to industries you've heard of. He'd spent his career there. He'd helped take the company public years earlier, and the stock he'd accumulated over decades of working there was worth several million dollars by the time he handed in his badge.

Carl wasn't an aggressive investor. He was an executive who held his company's stock the way executives often do: with deep emotional attachment, professional pride, and structural overexposure that nobody had ever forced him to confront. He believed in the company. He'd helped build it. The stock was the most concrete evidence of forty years of doing his job well, and selling significant portions of it before retirement felt, to him, like a kind of disloyalty.

He had other assets. A paid-off house. A modest cash position. But the company stock was the engine. The plan was simple: live off modest withdrawals, ride out the normal volatility the way he'd ridden it out his whole career, and pass whatever was left to his children.

Then 2008 happened.

The semiconductor sector got destroyed. Demand for the company's products collapsed alongside global manufacturing. The stock that had been the engine of Carl's retirement dropped, then dropped further, then kept dropping. Carl had retired into the worst sequence of returns of his lifetime, and he was holding a concentrated position in a sector that was getting hit harder than the broader market.

He watched it for weeks. Then months. He had no annuity. No pension. No guaranteed income floor. No cash value life insurance to draw against while the storm passed. He had the stock, the house, and the news cycle telling him every night that this might be the one that didn't come back. He read the analyst reports. He did the math on what would happen to his retirement if the stock fell another forty percent. The math was bad. The math had become unspeakable.

Carl sold near the bottom.

He couldn't take the mental anguish anymore. And almost to the day, the market hit its low and started recovering. Within months it doubled. Within a year, the company stock he'd sold was on its way back to where he'd held it.

Carl watched the recovery from outside the position. Then he watched it for months. Then for years. The recovery he had needed to participate in to fund a thirty-year retirement was now a recovery happening to other people. He had locked in the loss permanently. He traded a paper drawdown for a realized loss he could never undo and the depression that followed wasn't really about the money. It was about what the money represented. The career, the discipline, the decades of doing it right, all converted in a single panicked decision into a permanent reduction in everything he had built.

He never fully recovered. Not financially, and not in the harder sense.

What Killed Carl Wasn't the Crash

Here's what most people miss when they hear this story.

Carl wasn't destroyed by 2008. The market crashed and the market recovered. Anyone who held through 2008 with a thirty-year time horizon was fine. Anyone who was thirty-five years old in 2008 made all of it back and a lot more. The crash was a normal feature of a market that has crashes.

What destroyed Carl was the timing.

He retired into the crash. Not five years before. Not five years after. Right into it. And that timing converted a normal market event into a catastrophe that he was structurally unable to recover from. Because here's what happens when you crash into your retirement instead of into your accumulation years:

You stop contributing. You start withdrawing. The portfolio that's supposed to last thirty years has to last thirty years from a smaller base, with no new money coming in to dollar-cost-average through the recovery. Every dollar you withdraw to live on during the downturn is a dollar that doesn't get to ride the recovery back up. You sell low not because you want to but because you have to eat.

This is sequence-of-returns risk. It's the most important concept in retirement planning that almost nobody outside the industry has heard of, and it's the single largest threat to a retirement that has been adequately funded in every other way.

Carl's portfolio average was probably going to be fine over thirty years. Markets recover. Markets have always recovered. The problem was that Carl couldn't average over thirty years from a base that had been cut in half in year one. The arithmetic of recovery doesn't work the way most people assume it does.

If you lose forty percent of your portfolio, you don't need a forty percent gain to break even. You need a sixty-seven percent gain. If you lose fifty percent, you need a hundred percent gain. The math of getting back is brutally asymmetric, and when you're withdrawing from the smaller base while you're trying to recover, the math gets worse.

That's what killed Carl. Not the crash. The crash plus the timing plus the absence of any structural protection that could have given him an alternative to selling at the bottom.

The Twin Example

Let me show you sequence-of-returns risk in numbers, because the abstraction is too easy to dismiss until you see it.

Imagine two people, identical in every way. Same age. Same starting portfolio. Same withdrawal needs. Same investments. Each retires with a million dollars and plans to withdraw fifty thousand a year, adjusted for inflation.

The first person retires at the start of a twenty-five-year period from 1973 to 1998. The second person retires at the start of a twenty-five-year period from 1982 to 2007.

Both periods produced strong long-term average returns over the full twenty-five-year window, somewhere in the thirteen percent range. Close enough that on paper, the two retirements should have looked similar. If you only look at the average, the two retirements should produce similar outcomes.

They didn't.

The first retiree, who started in 1973, got hammered in the first two years of retirement. The 1973-1974 bear market took the broader market down nearly fifty percent. Our first retiree was withdrawing fifty thousand a year while the portfolio was getting cut in half. By 1975, with the recovery starting, his portfolio was nowhere near where it would have needed to be to support thirty years of withdrawals. He spent the rest of his retirement managing decline. The thirteen percent average return showed up eventually. It just showed up too late to save him.

The second retiree, who started in 1982, walked into one of the strongest bull markets in American history. The early years of his retirement were spent watching his portfolio grow even while he withdrew from it. By the time the 2000-2002 bear market arrived, eighteen years into his retirement, his portfolio had grown so substantially that the downturn was an inconvenience rather than a catastrophe.

Same average return. Same withdrawal pattern. Same starting capital. Wildly different retirements. One man died comfortable. One man spent his last fifteen years watching the portfolio he'd built run out before he did.

The difference between them was timing. Pure timing. They couldn't have done anything differently in their working lives to change it. The market handed them different sequences of returns and the sequences determined the outcomes.

This is the risk Carl was sitting in. This is the risk you're sitting in if you're within five years of retirement on either side.

Why Your Advisor Doesn't Talk About This

If sequence-of-returns risk is the single biggest threat to a successful retirement, why doesn't your advisor walk you through it?

Most advisors haven't been trained to. The financial planning curriculum, the licensing exams, the brokerage training programs spend most of their time on building wealth, not on preserving it through a thirty-year drawdown. Distribution-phase planning is treated as a specialty. A lot of advisors who have been in business for twenty years have never actually been formally trained on how to walk a client through it.

So your advisor will tell you to stay the course. They'll show you historical charts demonstrating that the market always recovers. They'll explain that volatility is the price of returns, that panic-selling at the bottom is the worst thing you can do.

Every word of that is true in the accumulation phase. None of it is a plan in the distribution phase.

Carl stayed the course until he couldn't. He thought long-term until the math of his withdrawals against the math of his shrinking portfolio became something he couldn't sleep through. The "stay the course" advice is correct right up until the moment the course you're staying on costs you the rest of your life.

You need a plan that doesn't depend on you being able to stay the course in the worst sequence-of-returns environment of your lifetime. You need a plan that holds up if the next twenty years rhyme with 2000 to 2009 instead of 2010 to 2024. You need infrastructure underneath the portfolio that gives you something other than the portfolio to draw from when the portfolio is down.

That infrastructure is what the rest of this book is about.

What Carl Didn't Have

If Carl had had a guaranteed income annuity covering his essential expenses, he wouldn't have had to sell stock at the bottom. He could have lived on the annuity income for the duration of the downturn and let the portfolio recover.

If Carl had had a properly structured cash value life insurance policy with meaningful cash value built up by retirement, he could have borrowed against it to fund his living expenses during the crash, leaving the portfolio untouched.

If Carl had had a diversified income strategy with multiple streams that didn't all depend on the same market, he wouldn't have been forced into a single source of liquidity at the worst possible moment.

He had none of those things. He had the stock and the house. When the stock fell, he had no alternative to selling it to fund his life. His advisor hadn't built him an income plan. His advisor had built him an accumulation plan and assumed it would still work after the accumulation stopped.

It didn't work. It couldn't work. The plan had no defense against the one risk that was about to destroy it.

The next chapter is the conversation I have with every client who walks into my office in the years before retirement. Nine questions, in order. The questions are designed to surface exactly what Carl was missing. Most clients don't realize they're sitting in Carl's situation until I walk them through it. They've done the financial work. They've never done the income work.

By the end of the next chapter, you'll know which questions you can answer and which ones you can't. The ones you can't answer are the ones that tell you what's missing.

Further Reading

How Whole Life Insurance Functions in a Retirement Income Plan

<https://www.insuranceandestates.com/whole-life-insurance-retirement/>

Whole Life Insurance vs. Bonds: What Three Independent Studies Actually Show

<https://www.insuranceandestates.com/whole-life-insurance-vs-bonds/>

The Annuity Question: When Guaranteed Income Belongs in Your Plan

<https://www.insuranceandestates.com/fixed-index-annuity/>

Chapter 3: The First Question

Most of my clients tell me, somewhere in the first meeting, that they think they have a plan.

Usually they say it with the binder in front of them. They've printed the spreadsheet. They've written down the numbers their advisor showed them last quarter. If they're a couple, and most of them are, they've talked it through on the drive over. They sit down across from me and say some version of *we think we're okay, we just want to make sure*.

Then I ask the first question. The room goes quiet.

What I'm going to walk you through in this chapter is the conversation I have with every client over fifty-five who comes through my door. There are nine questions. They go in order. They're designed to find out whether the client actually has the thing they think they have.

Most of the time, they don't. Most of the time, what they have is a number. A statement balance. An accumulation total. The thing they don't have is a plan for what to do with that number when the paychecks stop.

Read the questions slowly. Answer them yourself as you go. If you're married, read them with your spouse. The conversation in this chapter is the conversation most couples haven't had with each other, let alone with a planner. The whole point of putting the nine questions on the page is to give you a chance to have it.

The questions you can answer without hesitation are the ones that tell you what's working. The questions you can't answer are the ones that tell you what's missing.

Question One: What Does Retirement Actually Look Like for You?

I always start here, and it's not the question most clients expect. They expect me to ask about their assets. About their accounts. About their numbers. I'll get to those. But I want to start somewhere else.

If you could wave a magic wand and design the next twenty years of your life, what would you actually do? Where would you live? How would you spend your time? Who would you spend it with? Would you travel? Would you stay close to home? Would you be on the beach, in the mountains, in the same house you've lived in for thirty years, in something smaller, in something near the grandchildren?

There's no right answer. The point isn't to test you. The point is that almost no one walks into my office having actually thought through the answer in any concrete way. They've been so focused on the number that they haven't done the work of figuring out what the number is for. And if you don't know what the number is for, you can't know whether you have enough of it.

I've watched couples sit on this question for the better part of an hour. One spouse wants to travel. The other spouse wants to garden. One wants to move closer to the grandchildren. The other wants to stay in the house they raised the kids in. They've been married thirty years and they've never had this conversation explicitly. They've assumed the other person agreed.

Before we talk about money, we need to know what the money is for. So we start here.

Question Two: What Do You Have?

Now we get to the inventory. It's broader than what most clients expect.

Most couples come in thinking the inventory is the 401(k) and the IRA. That's part of it, but it's not all of it. The full inventory has more pieces, and some of them matter more than the obvious ones.

Social Security statements for both spouses. Not estimates. The actual statements from the Social Security Administration, with the projected benefit amounts at sixty-two, at full retirement age, and at seventy. These are the foundation of the income plan, and most couples haven't looked at them in years.

Pensions, if any exist. And if a pension exists, we look at all the options. Single life. Joint and survivor at fifty percent, seventy-five percent, a hundred percent. Lump-sum buyout if it's offered. Each option produces a different income stream and a different protection structure for the surviving spouse. Most clients have made this election without understanding what the alternatives would have produced.

The 401(k). The IRA. The rollover IRA from the job two employers ago that the client may have forgotten about. The Roth, if any. The brokerage account. The savings account. The CD ladder. The annuity nobody remembers buying twenty years ago. The cash value life insurance policy nobody understands.

The house, paid off or not. The other real estate. The business interest, if there is one. The inheritance, if one is expected.

I'm not asking you to value any of this perfectly. I'm asking you to put it all on the table so we can see what you're working with. Almost every time, there are pieces the client hadn't included in their own mental inventory. Sometimes those pieces change the analysis.

Question Three: What Will It Cost to Live the Life You Just Described?

This is the question most clients have given the least serious thought to.

I don't want a budget. Budgets are for accumulation. We're not in accumulation anymore. I want a real estimate of monthly expenses in the retirement you just described to me. The travel, the housing, the lifestyle, the help to the kids and grandkids. The everything.

Most clients give me a number that's lower than what they'll actually spend. They underestimate healthcare costs. They underestimate the cost of the lifestyle they want, especially in the first ten years of retirement when they're healthy and active. They overestimate how much their expenses will drop now that the kids are grown and the mortgage is paid.

We do the math together. The number that comes out of this conversation is almost always higher than the number the client walked in with. Not because they were lying to themselves. Because nobody had walked them through what their actual life costs in dollars per month rather than in budget categories. The first time they see the real number, they don't argue with it. They recognize it.

Better to recognize it now than three years into retirement, when the cushion has already eroded.

Question Four: What's the Survival Number?

Now I narrow it.

Not the number that funds the lifestyle. The number that keeps the lights on. The mortgage or rent. The property taxes. The food. The healthcare premiums. The basics. The amount of monthly income that, if it dropped below this floor, would mean genuine hardship.

This number is almost always lower than clients expect. It's the floor below which retirement stops being retirement and starts being something more anxious.

I want this number for a reason that becomes clear in a few minutes. The survival number is the number we have to make absolutely certain about. The number above it has flexibility. The number at it does not.

Question Five: What's the Lifestyle Number?

Then I go back up.

What's the monthly income that funds the retirement we talked about in Question One? Not survival. The actual life. The travel and the grandkids and the meals out and the contribution to the church and the help to the daughter who's struggling.

The gap between the survival number and the lifestyle number is the part of retirement most people are afraid to fund directly. They've been told their whole working lives that retirement means cutting back, that the responsible move is to ask for less than they actually want. They show up to my office with a survival number and call it a retirement plan.

You didn't wake up every day for thirty-five or forty years and go to work just to survive in retirement. You went so you could live. The lifestyle number is the one that lets you live.

I need both numbers.

Question Six: Where's the Income Going to Come From?

Now we look at the inventory against the numbers.

What's already guaranteed? Social Security. The pension, if there is one. Anything else that produces predictable income regardless of what the market does.

For most clients, the guaranteed income covers part of the survival number and not all of it. The rest has to come from somewhere.

Where it comes from in the standard advisor playbook is the portfolio. The 401(k) and the IRA, withdrawn at four percent or some variation, hopefully producing enough to cover the gap.

Hopefully.

That's the word your advisor doesn't want to use. *Hopefully*. The four percent rule is not a guarantee. It's a probability estimate calculated against historical market data that may or may not predict the next thirty years. If the market doesn't cooperate the way it cooperated for the last

forty, the rule fails. It's failed before. It will fail again for somebody. The question is whether that somebody is you.

If your survival number requires you to draw from a portfolio that might be down forty percent in the year you need to start drawing from it, you don't have a survival plan. You have a survival hope. There's a difference, and the difference matters more than almost anything else in retirement planning.

Question Seven: Sure Thing or Maybe?

This is where I stop and ask the question directly.

As you move into retirement, are you more inclined for a sure thing or a maybe?

Most clients laugh a little when I ask it. They know what the right answer is supposed to be. They know that saying sure thing means admitting the maybe wasn't what they actually wanted.

But they say sure thing anyway. Almost universally. Because they know it's what they actually want.

Nobody walks into retirement hoping for a maybe. Nobody. The maybe is what they've been handed by a system that doesn't know how to deliver a sure thing inside the conventional accumulation framework. The system has trained people to accept the maybe because the maybe is what's on offer. But the maybe isn't what they want.

Once you say sure thing, the rest of the conversation changes. Now we're not talking about how to optimize the maybe. We're talking about how to convert the parts of retirement that need to be sure things into actual sure things, and how to leave the parts that can be flexible in the parts of the portfolio that have flexibility.

The survival number wants to be a sure thing. The lifestyle number can have some flex. That distinction is the architecture of the income plan.

Question Eight: What Happens If One of You Doesn't Wake Up Tomorrow?

This is the question that changes the room.

I ask it gently. I'm not trying to scare anyone. I'm trying to surface something almost no one has thought through, because almost no one has been asked.

If one of you passes away, what happens to the income?

Most couples have not done this math. They're operating under the assumption that the household income in retirement will continue more or less unchanged regardless of which spouse is alive to receive it. That's not how Social Security works.

When one spouse dies, the surviving spouse loses one of the two Social Security checks. They keep the larger of the two. The smaller one disappears. For a couple where one spouse earned significantly more, this might be manageable. For a couple where both earned similar amounts, the loss can be thirty to forty-five percent of the household's total Social Security income, gone overnight.

If there's a pension, the pension election made years ago determines what happens to that income too. A single-life election means the pension stops at the death of the pensioner. A joint-and-survivor election continues the pension at fifty or seventy-five or a hundred percent, depending on what was selected. Most pensioners selected single life because the monthly check was bigger and they wanted the higher number while both spouses were alive. Many of those pensioners didn't fully understand what they were trading away.

I usually turn to the wife when I ask this question. In most of the marriages I work with, statistically, she will be the surviving spouse. So I look at her and I ask her directly. *If your husband passes away in five years, you'll lose his Social Security check and possibly his pension. Have you and he done the math on what your monthly income looks like the day after that happens?*

I have watched the answer to that question erase the color from a face. The math is real and the math is brutal and almost no one has done it. I have watched a wife look at her husband and say *did you know that?* I have watched a husband look back and say *I had no idea.*

This is the cliff. The reduction in income that happens at the death of one spouse, in a household that had no plan for it. The cliff is one of the largest, most predictable, and most unaddressed risks in retirement planning. Almost no advisor models it. Almost no client has been walked through it. And it happens to half of every couple, eventually.

Question Nine: What's the Plan?

This is the question that closes the diagnostic.

Given everything we just walked through. The lifestyle you want. The cost of that lifestyle. The survival floor. The guaranteed income you have. The gap between guaranteed income and what you actually need. The cliff that arrives at the death of one spouse.

What's the plan to make sure all of those numbers are guaranteed?

Most clients don't have an answer.

That's not a failure on your part. It's a failure of the conversation that should have happened years ago and didn't. You've been told your assets will produce income. You haven't been told how much, when, with what guarantees, against what risks, with what protection against the cliff. You've been told to stay the course. Nobody has shown you what the course actually looks like converted into income.

When clients realize they don't have an answer to Question Nine, the conversation shifts. They stop trying to defend their existing plan and start asking about what would actually work. That's the conversation I want to have with them, and it's the conversation almost nobody has been having with them.

It's also the conversation the rest of this book is about.

What You Just Did

You just walked through the diagnostic that most clients pay me to walk them through in person. The nine questions are the conversation. The conversation is the work. The work is what produces a real distribution plan instead of an accumulation plan with a 4% rule bolted onto it.

If you answered all nine questions cleanly and you're confident in every answer, the planning may already be in place. Read the rest of the book to confirm, but the diagnostic isn't surfacing a gap.

If you couldn't answer two or three of them, the gap is real and the next chapters of this book are aimed directly at you.

If you couldn't answer most of them, you're sitting where most of my clients sit when they first walk through my door. That's not a problem. That's the starting point.

The next chapter walks through the first tool. The income floor. The piece of the plan that takes the survival number off the maybe pile and puts it on the sure thing pile. It's the foundation everything else gets built on top of, and it's the closest modern equivalent to what your

grandparents had when they could relax in retirement without worrying about whether the market would cooperate.

Sit with the diagnostic before you turn the page. Walk yourself through the nine questions. Walk your spouse through them. See how many of them you can answer without hesitation. The number you can't answer is the number that tells you what's missing.

Then keep going.

Further Reading

Best Annuity Rates: Understanding Guaranteed Income in Today's Market

<https://www.insuranceandestates.com/best-annuity-rates/>

Life Insurance vs. Annuity: Which Belongs in Your Retirement Plan

<https://www.insuranceandestates.com/life-insurance-vs-annuity/>

The 401(k): Pros, Cons, and What It Was Actually Built For

<https://www.insuranceandestates.com/401k-pros-and-cons/>

Chapter 4: The Income Floor

The diagnostic from the last chapter ends with a question most clients can't answer.

What's the plan to make sure the numbers are guaranteed?

The reason most clients can't answer it is that nobody has built them a plan for the part of retirement where guarantees actually matter. They have a portfolio. They have a 4% withdrawal strategy. They have advice to stay the course. None of those are guarantees. They're hopes inside a strategy that depends on the market behaving the way the historical averages suggest it will.

The survival number from Question Four doesn't tolerate hopes. The lights have to stay on. The mortgage or the property tax has to get paid. The healthcare premiums have to be funded. The food has to be bought. None of that can be left to whether the market cooperates in a particular year.

This chapter is about the tool that builds the guarantee.

It's also, not coincidentally, the tool that closes the cliff.

What Your Grandparents Had

I keep coming back to your grandparents because the contrast between their retirement and yours is the clearest way to see what's missing.

Your grandparents had a pension. They worked for a company for thirty or forty years. When they retired, the company sent them a check every month for the rest of their lives. The check didn't depend on the stock market. It didn't depend on whether the company had a good quarter. It didn't depend on anything except the contractual obligation the company had taken on when your grandparents went to work for them.

That obligation was the pension. The pension was income. Real income. Guaranteed income. Income that didn't care what the market did, because the market was somebody else's problem. The company managed the pension fund. The company took the investment risk. Your grandparents took none of it. They received the check.

On top of the pension, they received Social Security. Between the two, your grandparents' guaranteed income covered most of their expenses. Whatever savings they had on top of that was

supplemental. The savings could rise and fall with the market and it didn't really matter, because the survival number was already covered by income that wasn't going to disappear.

This is why your grandparents could relax in retirement. The portion of their retirement that absolutely had to work was contractually guaranteed. The portion that involved the market was the small portion they could afford to be flexible about.

You don't have a pension. Almost nobody under sixty has a pension. The corporations decided pensions were too expensive and lobbied for the law to change. The 401(k), originally designed as a supplemental savings vehicle on top of a pension, became the entire retirement vehicle for an entire generation. The risk that used to belong to the company, the investment risk, the longevity risk, the sequence risk, got moved to you. You're now responsible for figuring out how to convert a 401(k) balance into income that lasts as long as you do, which is a problem your grandparents never had to solve because somebody else solved it for them.

Your grandparents had a defined benefit. You have a defined contribution. The two are not the same thing. They were never supposed to be the same thing.

The good news is that the tool exists. You just have to build the pension yourself.

The Personal Pension

What your grandparents had, in modern form, is called a personal pension annuity. The structure is straightforward. You give an insurance company a portion of your retirement assets. The insurance company commits, contractually, to send you a check every month for the rest of your life. The check doesn't depend on the market. It doesn't depend on how long you live. It doesn't depend on whether the insurance company has a good quarter. The check is guaranteed.

This is the same mechanism your grandparents had through their employer. The difference is that the employer used to take on the obligation, and now you take it on yourself by purchasing the contract directly. The math is similar. The protection is similar. The peace of mind is similar.

Most clients react to the word *annuity* with skepticism. The skepticism is partly earned and worth saying out loud.

Annuities have a bad reputation in the financial industry, and there are reasons for the reputation. For thirty years, annuities were sold by commissioned agents who didn't always understand the products they were selling and didn't always have the client's interest at heart. The industry has a history of complicated products, surrender charges that locked clients in, fees that weren't clearly disclosed, and sales pressure that pushed people into structures they didn't need.

A lot of bad annuities got sold. A lot of clients ended up unhappy. The reputation is a fair response to the history.

What's changed in the last decade is the products themselves. The contracts are simpler. The competition has tightened. The riders that protect surviving spouses are more flexible. An annuity in 2026 is not the annuity your father looked at in 2005. The first two reasons haven't changed. There are still bad annuities being sold. There are still advisors with reasons to dismiss annuities for reasons that have nothing to do with whether they would help you. The way to navigate that is to work with someone who isn't compensated for steering you toward or away from annuities, who can show you the specific contracts available to you, and who can be honest about whether the annuity actually fits your situation.

Sometimes it does. Sometimes it doesn't. The answer is specific to you.

How the Floor Gets Built

In the simplest version, here's what happens.

You decide what portion of your assets to use for the income floor. The number isn't arbitrary; it comes out of the diagnostic. The survival number is the floor that has to be guaranteed. The portion of assets used to fund the floor is the portion that produces enough guaranteed income to cover the survival number, layered on top of whatever Social Security and other guaranteed income sources you already have.

If your survival number is \$5,000 a month, and Social Security covers \$3,500 of that, you need a guaranteed income source that covers the remaining \$1,500. The annuity is sized to produce that \$1,500 a month, contractually, for as long as you live. Whatever assets are left over after funding the annuity stay where they are, in the portfolio, doing whatever the portfolio does.

The structure of the annuity contract specifies the details. Single-life or joint-life. With or without inflation adjustment. With or without a death benefit guarantee that returns unused principal to your heirs if you die earlier than expected. The contracts can also include long-term care provisions and other contingency riders, those are tools we can layer in for the right client, but they're conversations for the planning meeting rather than this book.

The choice that matters most for couples is single-life versus joint-life.

The Move That Closes the Cliff

Question Eight named the cliff. The reduction in income that hits the surviving spouse when the first spouse dies. Half of every couple lives through it. Almost no advisor models it. Almost no client has been walked through it.

The joint-life annuity is the move that closes it.

A single-life annuity pays the income for as long as the annuitant is alive and stops at the annuitant's death. If you elect single-life and you die first, the income stops. Your spouse keeps the larger of the two Social Security checks and whatever else is left in the household, but the annuity income that covered part of the survival floor is gone. The cliff hits in full.

A joint-life annuity pays for as long as either spouse is alive. The income continues, at full value or at a specified percentage, to the surviving spouse. If you elect joint-life and you die first, the check keeps coming. Your spouse loses the smaller Social Security check, but the annuity income that covered the rest of the survival floor stays intact.

The trade-off is real and worth naming. A joint-life annuity has a smaller monthly check than a single-life annuity, because the insurance company is taking on the obligation for two lives rather than one. So you get less income in the years you're both alive in exchange for the income continuing to the survivor.

For most of the couples I work with, this trade-off isn't close. They've spent forty years building a life together. They are not going to leave the surviving spouse, who is statistically more often the wife, to face the cliff alone. The smaller monthly check is the price of the protection, and the protection is what they came in for whether they knew it or not.

This is the part of the planning that lands hardest in the meetings. The wife who has been living with quiet anxiety about what happens if her husband dies first finally hears the answer. *The income continues. The check keeps coming. You're not going to be left to face it alone.* I have watched the fear erode from a face when that sentence finally lands. The annuity is the structural reason it can.

The Trade-Off Nobody Talks About

The annuity isn't free, but the cost isn't what most people assume it is.

The old version of this trade-off was that you handed the insurance company a lump sum, the company converted it to lifetime income, and the principal was gone. Annuitized. Untouchable. If you needed the money back, you couldn't have it. That used to be true. With the guaranteed income riders on modern annuities, it isn't anymore.

The way these contracts work now, you can turn on the income stream without giving up the principal. The income comes out as scheduled, and the cash value sits behind it. If you decide

a year later or five years later that you want to walk away, you can — the cash value comes back to you, minus a surrender charge. The charge isn't trivial, but it isn't a total loss either. You're not handing over the money permanently. You're trading some optionality for the guarantee.

Here's the way I put it to clients. Someone is going to receive this two hundred thousand dollars. Either you receive it as income while you're alive, or your kids receive what's left when you're gone. The downside to walking away early is that the insurance company keeps a percentage as a surrender charge. The charge varies by contract and declines over time, but in most properly designed annuities you're still walking away with most of your principal intact. There isn't a stock, bond, or mutual fund out there that can offer the same protection if the market moves against you. The annuity can.

That's the trade-off, named correctly. You give up some flexibility on the principal in exchange for income that doesn't depend on the market. The flexibility you give up isn't total. The income you get is.

When the Annuity Isn't the Answer

Sometimes it isn't.

If your existing guaranteed income from Social Security and pensions already covers your survival number, the floor is already built. You may not need a personal annuity at all. Adding one on top of an already-covered floor is over-engineering the plan. The diagnostic from Chapter 3 surfaces this directly. If Question Six showed your guaranteed income exceeds your Question Four survival number, the math takes care of itself.

If your assets are concentrated in tax-deferred accounts and the conversion of those assets into annuity income would create a tax problem you can't manage, the timing of the annuity purchase matters more than whether to buy one. Sometimes the answer is a phased approach, building the floor over several years rather than all at once, to manage the tax exposure across multiple years.

If your survival number is small relative to your asset base, an annuity may not be the most efficient way to produce the floor. Other strategies, including dividend-paying portfolios, treasury ladders, and specific applications of cash value life insurance, can sometimes produce the same effect at lower opportunity cost. The right answer depends on the math, and the math depends on your specific numbers.

If you're in poor health and your life expectancy is shorter than average, the annuity may not pay out enough years of income to be worth the principal commitment. The annuity is a

longevity hedge. It pays off when you live long. If the actuarial math is against you, the annuity isn't the right tool for your situation, and we look at something else.

The point is that the annuity is one tool among several. It's the most direct tool for the income-floor problem, and for many clients it's the right answer. For some clients it isn't, and the right answer is something else. The diagnostic surfaces the problem. The tool selection is a separate conversation, and it's the conversation I have with every client I work with after the diagnostic is complete.

What This Means for Your Plan

If you've read this far, you probably recognize where the income-floor question lands in your own situation. Most readers do. The pattern is consistent. The survival number is bigger than Social Security alone covers. The gap is being filled by the portfolio at a 4% withdrawal rate. The entire plan depends on the market behaving in the next ten years the way it behaved in the last ten.

That dependency is the part that has to change.

Building the income floor doesn't mean dismantling your portfolio. It means redirecting a portion of your assets, calculated specifically against your situation, into a contractual income stream that takes the survival number off the maybe pile and puts it on the sure-thing pile. The rest of your portfolio stays where it is, doing what it was always going to do, with the meaningful difference that you no longer need it to perform a particular way for your retirement to work.

The next chapter is about the layer that goes on top of the floor. Once the survival number is covered, the question becomes how to handle the discretionary income. The lifestyle layer. The part of retirement that's about more than survival. There are tools for that part of the architecture too, and they're different tools than the annuity.

The book takes them up next.

Further Reading

Best Annuity Rates: Understanding Guaranteed Income in Today's Market
<https://www.insuranceandestates.com/best-annuity-rates/>

Life Insurance vs. Annuity: Which Belongs in Your Retirement Plan
<https://www.insuranceandestates.com/life-insurance-vs-annuity/>

The Fixed Index Annuity: How It Works and When It Fits

<https://www.insuranceandestates.com/fixed-index-annuity/>

Chapter 5: The Tax-Advantaged Layer

The income floor solves the survival problem. It doesn't solve everything else.

If your plan ended at the floor, retirement would be functional but not particularly good. The lights would stay on. The mortgage would get paid. The healthcare premiums would be funded. You'd survive.

Most clients I work with don't want to merely survive. They want to live the retirement they actually planned for. The travel. The grandchildren. The volunteering. The dinners out. The discretionary spending that turns retirement from a long managed decline into the part of life they were saving for in the first place.

That's the lifestyle number from Question Five. The number above survival. The number that depends on more than the floor.

The discretionary side of the income plan needs a different kind of tool than the floor. It needs flexibility. It needs tax efficiency. It needs the ability to grow over time so the income it produces in year fifteen of retirement is bigger than the income it produced in year one. And it needs to give you a place to draw from in the years when the market is down and you don't want to sell from the portfolio.

There's a tool for this. It's been part of the tax code for a hundred years. It's been used by banks, corporations, and wealthy families for nearly that long. It's also one of the most misunderstood financial tools in America, partly because it's been sold badly for decades and partly because the people who have reasons to dismiss it have done a thorough job of dismissing it.

The tool is cash value life insurance.

What Cash Value Life Insurance Does in a Distribution Plan

Cash value life insurance, properly structured for accumulation, does four things at once.

It produces a death benefit that passes tax-free to your beneficiaries.

It accumulates cash value over time, growing tax-deferred inside the policy.

It allows you to access that cash value during your lifetime through policy loans, which are not taxed as income because the IRS treats loans as loans, not as distributions.

And in the right design, it provides a non-correlated source of income that doesn't depend on the market in a given year, which means in the years when the portfolio is down and you don't want to sell from it, you have somewhere else to draw from.

Read those four things again. Tax-free death benefit. Tax-deferred growth. Tax-free access during life. Sequence-risk protection. Almost no other financial tool does all four. The 401(k) does none of them. The brokerage account does none of them. The annuity from Chapter 4 covers the floor but doesn't grow tax-deferred or pay a tax-free death benefit.

This is why cash value life insurance is the tool of choice for the discretionary layer above the floor, when it fits the client.

The Two Forms

Cash value life insurance comes in two main forms: indexed universal life (IUL) and whole life.

Both share the four features above. Both grow tax-deferred. Both produce tax-free retirement income through policy loans. Both pay a tax-free death benefit. Both buffer against sequence-of-returns risk.

The difference between them is how the cash value grows.

Whole life grows at a guaranteed rate set by the insurance company, plus non-guaranteed dividends if the company is a mutual insurer that pays them. The growth is predictable and conservative.

IUL grows based on the performance of a market index, with two structural features that change everything. There's a cap on the upside. There's a floor on the downside. In years when the index goes up, your cash value gets credited up to the cap. In years when the index goes down, your cash value gets credited zero. You participate in market gains without taking market losses. Your principal isn't in the market; the crediting math is linked to it.

The clearest test of this structure was 2008. Index fund holders lost roughly a third of their balances that year. Properly structured IUL policies were credited zero. The floor did its job.

The trade-off is the cap. The same feature that protects you on the downside limits your participation on the upside. Both forms — whole life with its guaranteed growth and IUL with its

floor-and-cap structure — are valid. Both fit specific clients better than others. The next chapter walks through how that decision actually gets made.

How the Income Comes Out

This is the part most explanations get wrong, and it's worth getting right.

The income comes out through policy loans. Not withdrawals. Loans.

Two consequences follow. The first is that your cash value continues to compound even while the borrowed money is in your hands, because the loan is collateralized against the policy rather than drawn from it. The second is that the loan isn't taxed as income, because the IRS taxes distributions and not loans.

You can use the proceeds for anything. Income in retirement. A real estate down payment. A business opportunity. Medical expenses. There's no restriction on what you do with it.

The contrast with how a 401(k) works is stark. Every dollar that comes out of a 401(k) is taxed as ordinary income. Every dollar that comes out of a properly structured cash value life insurance policy through a loan is not. For a client in a combined federal and state bracket of twenty-five percent, every \$40,000 of tax-free income from cash value life insurance is the equivalent of roughly \$53,000 of 401(k) income before tax. The efficiency compounds over a thirty-year retirement.

Where This Layer Fits in the Plan

The architecture is now three-tiered.

The annuity from Chapter 4 covers the survival number. Contractual income, guaranteed for life, joint-life structure to close the cliff. That's the foundation.

The portfolio you keep invested covers part of the lifestyle number. Stocks, bonds, whatever the rest of your assets are doing. That's the growth piece.

The cash value life insurance covers the rest of the lifestyle number, with two structural advantages the portfolio alone can't deliver. The income comes out tax-free, which means a smaller dollar amount goes further than the same draw from a tax-deferred account would. And it gives you somewhere else to draw from in the years when the market is down and you'd rather not sell from the portfolio.

That second feature is the buffer against sequence-of-returns risk Chapter 2 walked through. Carl had no buffer. He had to sell stock at the bottom because he had nothing else to draw from. A client with a properly structured cash value life insurance policy in place has the buffer Carl didn't. When the market crashes, the portfolio gets to recover without being raided to fund discretionary spending. The cash value life insurance fills the gap.

This is the layer above the floor.

When This Layer Isn't the Right Tool

Cash value life insurance fits a lot of clients. Not all of them.

If your time horizon to retirement is short, the cash value engine doesn't have time to build. Most properly designed policies need at least five to seven years of consistent funding to produce the long-term results the strategy depends on. A reader who is already sixty-eight and hoping to draw income at seventy-one isn't a candidate for a new policy. The math doesn't work in three years.

If you can't commit to the funding plan, the policy underperforms. Cash value life insurance is a long-term commitment by design. The tax advantages and the structural mechanics depend on the policy staying in force and being funded as planned. If your income is variable in a way that makes consistent funding difficult, that's a flag worth raising before any policy gets designed.

If your existing guaranteed income from Social Security, pensions, and the annuity floor already covers most of your lifestyle number, the supplemental layer may be over-engineering the plan. Some clients don't need the third tier.

If the policy gets designed badly, none of the math works. This is the most common failure mode in the industry, and it's the reason cash value life insurance has the mixed reputation it has. A poorly designed policy is worse than no policy at all, because the client believes they have a working strategy when they have a slow-bleeding contract that will underperform every year. Design is most of the strategy. Chapter 8 walks through how to tell whether you're getting it.

What Comes Next

You've now seen the architecture in outline.

The annuity covers the survival number. The portfolio handles part of the lifestyle number. Cash value life insurance, when it fits, handles the rest with tax efficiency and sequence-risk protection.

The next question is which form of cash value life insurance fits which client. Whole life and IUL aren't competitors. They're different tools for different situations, and the decision between them is one of the most consequential calls in distribution-phase planning.

The next chapter is about that call.

Further Reading

How Indexed Universal Life Insurance Actually Works

<https://www.insuranceandestates.com/indexed-universal-life-iul-insurance/>

Why Dave Ramsey Is Wrong About IUL Insurance (And Where He's Right)

<https://www.insuranceandestates.com/dave-ramsey-iul-insurance/>

The IUL Implementation Strategy: The 3-4 Year Cash Value Reality

<https://www.insuranceandestates.com/iul-implementation-strategy/>

Chapter 6: How the Decision Gets Made

I'm one of the few agents in the country who works with both whole life and indexed universal life and recommends based on what fits the client, not based on what I'm captive to.

Most agents are in one camp or the other. They're whole life agents, or they're IUL agents. They believe in the tool they sell because the tool they sell is the only tool they have access to or the only tool they understand well. When a client asks them which one is better, they say theirs is. They're not lying. They're working with the only hammer they own.

I've watched this happen for sixteen years. I've trained five hundred-plus advisors at two of the largest life insurance companies in America, and I've watched the captive-agent dynamic shape almost every conversation those advisors have with their clients. The advisor's framing is here's what I have. The client's question is what fits me. Those aren't the same conversation, and the client doesn't always realize the difference.

This chapter is about how the decision actually gets made between the two tools introduced in Chapter 5. The decision matters more than most clients realize, because the wrong tool, even the wrong tool sold by a competent agent, produces a slow underperformance the client may not notice until it's too late to fix.

The Trap of the One-Product Agent

Before I walk through the decision logic, I need to name the structural problem that makes the decision hard for most clients.

If you sit with an agent who only sells whole life and you ask whether IUL might be a better fit for your situation, the answer you'll get is no. The answer will come with reasons. Some of the reasons will be valid. Some of them will be the reasons the agent has been trained to give to overcome the IUL question. You won't always be able to tell which is which.

The same is true in reverse. An IUL-only agent will tell you whole life is too expensive, too rigid, too low-yield, too last-century. Some of those criticisms will be valid for your situation. Some of them will be the IUL agent's training kicking in. You won't always be able to tell.

The way out of this trap is to work with someone who has access to both tools and uses both. If the agent's recommendation depends on the agent's product line rather than the client's situation, you're not getting planning. You're getting product placement.

The reason most agents are in one camp is that the major insurance companies are organized around product lines. Some companies sell whole life almost exclusively. Some specialize in IUL. The captive-agent structure makes it hard for an individual agent to develop fluency in both tools. The structure of the industry pushes agents toward specialization that serves the company more than the client.

The way to identify a planner who works with both is to ask. Ask which products they have access to. Ask how they decide between whole life and IUL for a particular client. Ask for examples of cases where they've recommended each. If the answer is vague, or if every example sounds the same, that's a signal.

How the Two Tools Differ

Chapter 5 introduced whole life and IUL as the two main forms of cash value life insurance. Both share the structural features that make cash value life insurance valuable in a distribution plan: tax-deferred growth, tax-free retirement income through policy loans, a tax-free death benefit, and a buffer against sequence-of-returns risk.

The difference is in how the cash value grows.

Whole life grows at a guaranteed rate plus non-guaranteed dividends. The growth is predictable and conservative. The major mutual insurance companies have paid dividends every year for over a century, including through the Great Depression, the 1970s stagflation, and the 2008 crisis. The dividend isn't legally guaranteed; the historical reliability is the closest thing to a guarantee a financial product gets.

IUL grows based on a market index, with the cap-and-floor structure Chapter 5 walked through. Over decades, the math typically produces stronger total returns than whole life because the cap-protected upside compounds across many positive years. The trade-off is variability. You might get credited zero one year and your full cap the next, where whole life produces something closer to the same number every year.

The shorthand: whole life trades upside potential for predictability. IUL trades predictability for upside potential. Both are valid trades. The question is which trade fits which client.

How the Call Gets Made

The call between whole life and IUL turns on temperament, time horizon, what the policy is going to be used for, and what the client is comfortable with year to year. Each of those inputs

matters. None of them weighs the same for every client. The right answer for a particular client requires sitting across from them and walking through their specific situation.

That's not a conversation that happens on a page.

What I'll say here is what I won't do. I won't recommend a tool I'm captive to. I won't sell the whole life client an IUL because the IUL pays a higher first-year commission. I won't sell the IUL client a whole life policy because the whole life carrier I work with is running a contest. The recommendation tracks the client's situation, and when it doesn't track, I tell the client and we adjust.

Sometimes the answer is whole life. Sometimes the answer is IUL. Sometimes the answer is both, layered together for a client whose situation justifies the complexity. Sometimes the answer is neither, and the right move is something else entirely.

The work that produces the recommendation is the work that doesn't fit in this book. It's the conversation. It's why the conversation exists.

What Both Tools Have in Common

Whatever differences whole life and IUL have, they share more than they differ on at the structural level. Both grow tax-deferred. Both produce tax-free retirement income through policy loans. Both protect against sequence-of-returns risk by giving you a non-correlated source of income that doesn't depend on the market in a particular year. Both provide a permanent death benefit that passes tax-free to beneficiaries, which means the policy operates simultaneously as a retirement income tool and as a wealth transfer tool. Both require proper design to work as intended. A poorly designed whole life policy underperforms the same way a poorly designed IUL underperforms, and for the same reason: the death benefit gets sized to maximize the agent's commission rather than the client's cash value.

A properly designed cash value life insurance policy from a strong carrier, structured for cash accumulation rather than for the agent's commission, used appropriately within a comprehensive distribution plan, is one of the most reliable financial tools available to a 55+ retiree. That's true whether the policy is whole life or IUL. The form follows the function.

What Comes Next

You now have the toolkit.

The income floor, built with a guaranteed income annuity, covers the survival number with contractual certainty. The joint-life structure closes the cliff.

The tax-advantaged layer, built with cash value life insurance, covers the discretionary side of the lifestyle number with tax efficiency and sequence-risk protection.

The cash value life insurance layer is whole life, or IUL, or in some cases both, depending on the specific client's situation.

The architecture is the constant. The tools are the variables.

The next chapter shows what this looks like applied to actual people. Two meetings. Two different couples. Two different sets of specifics. The same architectural logic underneath. By the end of the next chapter, you'll have seen the toolkit assembled around real numbers, and you'll know whether your situation is starting to look like one of theirs.

Further Reading

How Whole Life Insurance Actually Works

<https://www.insuranceandestates.com/whole-life-insurance/>

The Top 10 Best Dividend-Paying Whole Life Insurance Companies

<https://www.insuranceandestates.com/top-10-best-dividend-paying-whole-life-insurance-companies/>

Whole Life vs. Universal Life: How to Choose

<https://www.insuranceandestates.com/whole-life-vs-universal-life/>

Chapter 7: Two Meetings

The two scenes that follow are real. Names and some details have been changed.

The specific tools varied between these two couples, and they vary across every client I work with. Sometimes the answer is an annuity. Sometimes it's life insurance structured for cash accumulation. Sometimes both. Sometimes neither, and the right move is to make small adjustments to the existing plan rather than build something new. The architecture is the constant. The tools are the variables.

What follows is what the architecture looked like for two different couples in two different situations. The diagnostic from Chapter 3 either resonated with you or it didn't. The toolkit either made sense to you or it didn't. What these scenes do is show you what happens when the diagnostic gets applied to actual people, with actual numbers, in actual rooms. The architecture stops being theoretical.

If any of this sounds familiar, it's because it is. I see versions of these meetings every week.

The Couple

The couple I mentioned in the introduction sat across from me on a Tuesday afternoon in late spring. Both sixty-six. Married thirty-eight years. He had retired from a regional manufacturing company eight months earlier with a small severance and the kind of going-away party where people who'd worked together for decades told stories that made him cry. She had retired from teaching two years before that.

They had six hundred thousand in retirement assets, mostly his rollover IRA, a smaller portion in her teacher's pension equivalent. They had three hundred and fifty thousand sitting in a savings account at a regional bank, earning whatever a regional bank pays in this rate environment, which is to say almost nothing. The house was paid off. They had no debt.

He was the more aggressive one in the marriage. Not aggressive in the conventional sense, but the one who pushed for what they called the bigger life. He'd been the one to suggest the trips to Europe when the kids were grown. He'd been the one to argue for the lake house ten years earlier and decided against. He talked about retirement the way a man talks about a project he's been planning his whole life and is now ready to execute.

She was different. She watched their accounts the way some people watch the weather. She remembered her father's 2008, he'd retired right into the crash, watched a third of his savings disappear, never recovered psychologically. He'd lived another fifteen years and spent almost all of them being careful. She didn't want to be careful in retirement. She wanted to be careful with her plan so she didn't have to be careful with her life.

We did the diagnostic.

The lifestyle they wanted came in around seventy-five hundred a month, closer to eight if they were honest about the travel. The survival number, mortgage zero, property taxes and insurance, healthcare premiums bridging to Medicare, food, utilities, the rest, was forty-seven hundred. Their Social Security combined was forty-four hundred. That covered most of survival but not all of it. It covered roughly half of lifestyle.

The rest was supposed to come from the IRA at four percent, twenty-four thousand a year, two thousand a month. Combined with Social Security, that put them at sixty-four hundred a month. Almost two thousand short of their lifestyle number. Even before any market downturn. Even before anything went wrong.

He'd known the math wasn't quite right. He'd been hoping it was closer than it turned out to be. She'd suspected for a while it wasn't right and hadn't pushed him on it because she didn't want to be the one to bring up bad news.

We sat with that for a minute.

When I asked them about their inclination, sure thing or maybe, she said sure thing without hesitating. He took a few more seconds, then said sure thing too.

Then I asked Question Eight. I turned to her, because in their marriage it was a near certainty that she would be the surviving spouse.

If your husband passes away in five years, what happens to your monthly income?

She didn't know. She knew Social Security would change but didn't know how. She knew his pension piece would be affected but didn't know how. She'd never sat down and done the math.

We did it together. When he died, she'd lose her own sixteen hundred. She'd keep his check. The pension piece, depending on the election they'd made years ago, would either continue or stop. He couldn't remember which option they'd chosen. We made a note to find out.

In the worst case, pension stopped at single life, she'd be looking at twenty-eight hundred from Social Security plus whatever the IRA could produce at four percent on whatever was left.

Roughly forty-eight hundred a month. Down from sixty-four hundred. A twenty-five percent drop. Same house, same property taxes, same healthcare premiums. Same everything except the absence of one of the two people the income had been built around.

I watched her face change. He saw it too. He reached over and put his hand on hers.

She had been frightened of running out of money since her father's 2008. Now she was looking at a specific scenario in which the running out wouldn't happen because of a market crash. It would happen because of an actuarial table.

What we built for them, over the next several weeks, was straightforward.

We moved a portion of the IRA into a personal pension annuity, structured as joint-life so the income continued to her at full value if he died first. The annuity covered most of the survival number with contractual income, indexed for some inflation protection, that would continue as long as either of them was alive. It removed the survival number from the maybe column and put it in the sure-thing column. Her father's 2008 stopped being a possible version of her future. She had built the modern equivalent of her own father's pension, with the joint-life protection that would have saved her mother years of careful living after he was gone.

The rest of the IRA stayed invested. With permission. Permission, because the survival floor was now covered, to let the market do whatever the market was going to do. They could pull from it for lifestyle in years when the market cooperated and pull less from it in years when the market didn't, without ever touching the floor. The portfolio that had been the entire engine of their retirement became the discretionary layer instead, which is what portfolios are actually good at.

The three hundred fifty thousand in cash stayed where it was for now. We discussed several options for putting it to better use, but the immediate priority was the floor. The cash conversation was for another meeting.

They left my office that day with a plan. Not a hope. A plan.

She emailed me a week later. The fear had eroded from her face by the second meeting, and by the time she sent the email she was making a list of the trips she actually wanted to take.

The Airline Worker and His Wife

The second meeting was different in almost every way except the one that mattered.

He was sixty-one. She was sixty-four. He worked in risk management for a major airline. She had retired four years earlier from a career in medical office administration. They had eleven hundred thousand dollars in combined retirement assets, mostly in his 401(k) at the airline. They had no debt other than a small mortgage with three years left on it.

He'd come to me because his risk-management instincts had caught up with his retirement plan. He'd built a career out of identifying scenarios where things could go wrong, and he'd realized he'd never applied that lens to his own retirement. He had a vague sense that something wasn't right but he wanted to do his homework before committing to anything.

He told me, before we even started, that I should not get my hopes up about him moving fast. *Jason, don't get too excited. It took me over seven months to buy my last car.*

I laughed. I told him that was fine, I'd rather have a client who took seven months and got it right than one who took a week and got it wrong.

She did not laugh.

I could see her shoulders tighten when he said it. Over the course of the meeting, I learned that she had been waiting for him to be ready to do this for almost two years. Every time they got close, he'd find one more question, one more comparison, one more analysis to run. She loved him. She also wanted, very badly, to know what their retirement actually looked like, and his risk-management mode had been keeping them both from finding out.

We did the diagnostic. He was meticulous. He'd built a spreadsheet. He'd categorized every expense. He'd run scenarios at three different levels of retirement aggression. He showed me his work. The work was excellent. It was also incomplete in the way most pre-retirement spreadsheets are incomplete: it didn't account for sequence-of-returns risk, it didn't model the cliff, and it assumed a four percent withdrawal rate without examining what happened if the market didn't cooperate in the first five years.

I walked him through what would happen to his plan in a bad sequence. He hadn't done that math. The math was bad.

She watched him watch the math. I could see her registering, not for the first time, that the analysis he'd been refusing to wrap up was not going to wrap itself up just because they sat in another meeting. The risk that worried him was not the same risk that worried her. He worried about whether the analysis was complete. She worried about whether they were going to be okay.

She turned to me at one point and asked, quietly, *Is this something I can just do with my money? Even if he isn't ready yet?*

I said yes, technically, but that I wouldn't recommend doing the planning that way. The income strategy worked best when it was built around both of them as a unit, accounting for both Social Security checks, both lives, the cliff. Splitting it would protect her individually and create a lot of unnecessary complication for both of them. I said it gently. He heard it.

We met again the following Monday. He came in with two additional questions before he was ready to make any decisions. He listed them carefully. Both were good questions. Both were also questions whose answers wouldn't change the structure of the plan, only the precision of certain numbers within it.

I watched her watch him list the questions. I watched her sigh, very quietly.

I looked at him. *I don't know exactly what you do at work, but every time I get on a plane, I'm comforted by the fact that there are people like you keeping me safe. I have to put my trust in you and the pilots and the maintenance staff. Eventually you're going to have to put your trust in the opinion of an expert too. You've done your homework. Your homework is excellent. At some point the homework has to end and the decision has to start.*

He sat with that for a minute. He looked at her. He looked back at me.

You're absolutely right. At some point I've got to realize that you know more about this than I do.

She didn't say anything. She just exhaled, in a way I'd been waiting two meetings to hear.

We built them the architecture. Different specifics than the first couple, because his asset base was larger, his time horizon was longer, and his risk profile was different. But the same structural move: cover the survival floor with a sure thing, keep the rest invested for growth, plan for the cliff, and add the tax-efficient layers his higher asset base made possible. The specific vehicles were different than what we built for the first couple. The structural logic was the same.

He emailed me after the second policy delivery. *Thanks for being patient with me. Should have done this two years ago.*

She emailed me separately. Hers was shorter. *Thank you.*

What These Two Meetings Have in Common

Different couples. Different asset levels. Different temperaments. Different reasons they came to me. Different specifics in what we built.

What they had in common is what almost every couple I work with has in common when they walk in. They didn't have a plan for the income side. They had assets. They had statements. They had advisors who told them they were fine. What they did not have was a structure that turned the assets into reliable income and accounted for the things that could destroy that income.

The work I do is not complicated. It's not magic. It's not a secret nobody else knows. It's the work that someone has to do and that almost no one is being paid to do for the people who need it. The diagnostic surfaces the gap. The toolkit fills it. The result is a retirement that doesn't depend on hope.

Most readers of this book are sitting somewhere between the couple in the first scene and the couple in the second. Different asset levels, different temperaments, but the same structural problem. The same gap.

Two scenes worked. There are versions of these scenes that don't work, and almost always the reason is that the planner across the table wasn't doing the diagnostic, they were positioning a product. The next chapter is about how to tell which kind of conversation you're actually in.

Further Reading

Whole Life Insurance for Retirement: How to Create Tax-Free Income for Life
<https://www.insuranceandestates.com/whole-life-insurance-retirement/>

Best Annuity Rates: Understanding Guaranteed Income in Today's Market
<https://www.insuranceandestates.com/best-annuity-rates/>

Life Insurance vs. Annuity: Which Belongs in Your Retirement Plan
<https://www.insuranceandestates.com/life-insurance-vs-annuity/>

Chapter 8: How to Tell a Good Plan From a Bad One

By this point, you understand the architecture and the toolkit. The income floor. The tax-advantaged supplemental layer. The cash value life insurance options. The way the tools fit together to produce a retirement that doesn't depend on the market behaving in a particular way.

Now comes the part most readers haven't thought enough about.

The planning is only as good as the planner. The architecture is only as good as the design. A bad planner with the right tools will give you a plan that doesn't work. A good planner will use whichever tools fit your situation, including some that aren't in this book, and produce a plan that does.

The difference between the two is bigger than most clients realize when they're shopping for help. The cost of the wrong planner is twenty or thirty years of compounding underperformance, and you don't get those years back.

This chapter is about how to tell, before you commit, whether the planner across the table is going to build you something that works. There's no perfect test. But there are signals, and the signals are usually visible if you know what to look for.

The Compensation Problem

The financial services industry runs on commissions and fees. That's not a scandal. It's just the structure. Advisors get paid in one of three ways: commissions on products they sell, fees on assets they manage, or some combination. Every compensation structure creates incentives, and the incentives shape the advice.

For an advisor compensated on assets under management, the incentive is to keep your money invested in the accounts they manage. Moving assets out of those accounts, into annuities or cash value life insurance, reduces their compensation. The advice you'll get from an AUM-compensated advisor will tend to favor strategies that keep the assets where they are, even when those strategies expose you to risks that other strategies would protect against.

For a commissioned life insurance agent, the incentive is to sell the policy that pays the highest commission. Commissions on life insurance are typically based on the death benefit, which means the agent has a structural reason to maximize the death benefit on any policy they sell. For a client buying term insurance, this is mostly fine. For a client buying cash value life

insurance for accumulation purposes, it's a problem. The properly designed accumulation policy uses the *smallest* death benefit the IRS allows, because cash value growth is maximized when the death benefit is minimized. The agent who designs the policy correctly is choosing to make less money on your case so you'll have more money in retirement.

Most agents don't make that choice. The structural incentive runs the other way, and most agents follow the structural incentive. This is why so many of the cash value life insurance policies sold in America underperform what they could have done. The policies aren't bad products. They're bad designs of good products.

Asking a planner directly how they get paid is a fair question. The honest answer to it tells you most of what you need to know about how the recommendations will be shaped.

What to Look for in an Illustration

The illustration is the document the agent shows you to project how the policy will perform over time. There are two principles a reader should know without needing to do the analysis themselves.

The first principle: in cash value life insurance designed for accumulation, the death benefit should be near the IRS minimum for your premium level, not significantly higher. If the death benefit on the illustration looks larger than necessary, the policy is being designed for the agent's commission, not for your accumulation. Ask why. The answer should be specific and persuasive.

The second principle: a properly designed accumulation policy should have meaningful first-year cash value relative to the first-year premium. If the first-year cash value is close to zero, the policy is loaded with upfront expenses that benefit the agent and the carrier rather than you.

That's the level of evaluation a reader of this book can do. The deeper analysis, internal expense projections over thirty years, crediting assumptions, the math of how surrender charges decay, is the work a planner does for you. A reader who wants to learn that level of detail is welcome to. The point of asking the questions in this chapter is to find a planner whose answers tell you they're already doing that work, not to do it yourself.

What Good Planning Actually Looks Like

Good planning starts with the diagnostic. Before any product or any illustration appears, the planner is asking what you're trying to accomplish, what you have, what your numbers look like, and where the gaps are. The diagnostic takes most of the first meeting. It produces a clear picture of what kind of plan you need before any specific tool gets discussed.

Once the diagnostic is done, the planner matches tools to gaps. Not products to commissions. Tools to gaps. If the gap is income-floor exposure, the tool is probably an annuity. If the gap is sequence-of-returns risk on the discretionary side, the tool is probably cash value life insurance, in whichever form fits. If the gap is something else, the tool is something else.

For each tool, the planner explains why it's being recommended and what it does that the alternatives don't. Multiple options on the table. What happens if you do nothing, alongside what happens with the recommendation. Conservative, moderate, and optimistic scenarios. The math is visible.

When cash value life insurance is being designed, it's designed for cash value. The death benefit is the IRS minimum. The premium is at the top of the IRS limits for the death benefit. The structure maximizes accumulation, which minimizes the agent's commission relative to alternative designs. The agent makes less money per case this way. They make their income on the volume of clients who refer their friends because the planning actually worked.

A good planner has access to multiple carriers. Not captive to any one company. When they recommend a specific product, it's because they've compared it against alternatives across the carriers they have access to and concluded that it's the best fit for your situation. The recommendation isn't *here's what my company sells*. It's *here's what I think fits you best, and here's why*.

A good planner also tells clients when the answer is no. If the diagnostic surfaces a situation where the tools they work with aren't the right fit, they say so. Sometimes the right answer is your existing plan with a few adjustments. Sometimes it's a referral to a specialist who handles a specific situation better. Sometimes it's *you don't need to do anything; you're in good shape*. The next chapter walks through a specific case where I told a client I wasn't the right agent for her, and what happened next.

That's the process. Diagnostic first. Tools matched to gaps. Multiple options shown. Cash value designs done for cash value, not commission. Multi-carrier access. Honest enough to say no.

What a Bad Design Actually Looks Like

A business owner came to me for a second opinion on a policy he'd bought five years earlier. He'd paid \$150,000 in premiums over those years, \$30,000 a year, faithfully. The cash value on his most recent statement was \$95,000.

He sat down across from me and asked, quietly, whether that was supposed to be the number.

He'd been told the policy would grow at five or six percent. After five years and \$150,000 in, he had \$95,000 out. That works out to a 2.9 percent internal rate of return. He'd done the math before the meeting. He knew the number wasn't what he'd been led to expect. He didn't know why.

I pulled up the policy and walked him through what he'd actually bought.

The death benefit was sized at roughly forty times annual premium when a properly designed accumulation policy at his profile would have used something closer to twenty-five times. That oversized death benefit was driving insurance costs of about \$6,500 annually, eating into the cash value he'd been told he was earning. The index allocation, on top of that, had been defaulted to the guaranteed account at three to four percent rather than participating in the index upside the product was designed to deliver. He was paying for an indexed product and getting a fixed product with the costs of the indexed wrapper.

None of that was visible on the illustration he'd been shown five years earlier. The illustration showed a premium, a death benefit, and a projected cash value column. The cash value column looked respectable on paper. What the illustration didn't show was the alternative, the same premium, designed differently, producing materially better results across every year of the projection.

We ran the alternative side by side. A properly designed replacement, with the death benefit closer to the IRS minimum, the index allocation actually participating in the index, and the funding plan extended to complete the cash-accumulation ramp. The replacement projected materially higher cash value at every milestone, meaningfully higher at year ten, substantially higher at year twenty. Same premium dollars. Different design. Different outcome.

He sat with the numbers for a minute. Then he asked the question I get every time I do this kind of review.

How was I supposed to know?

He couldn't have. The illustration didn't put it in front of him. Most illustrations don't. The numbers that would have told him the policy was designed for something other than his cash value lived in details he hadn't been trained to read, in a document the original agent walked him through quickly because there was no reason to slow down on parts that looked normal.

After walking through whether a 1035 exchange made sense for his specific situation, we executed one and moved the existing cash value into a properly designed policy. He kept the \$95,000 in motion, restructured the funding, and over the following years built the policy he should have had from the start.

He still talks about that meeting as the moment he learned that design is the strategy. The product wasn't the product. The product was how the product had been built.

The Questions to Ask

The questions that follow are the ones that would have surfaced those problems before he bought the policy. They surface the difference between a planner doing the work and an agent selling a product.

Which products do you have access to? A planner who only has access to one carrier is, by definition, going to recommend products from that carrier. They may be good products. They may not be. Either way, the planner's recommendations are constrained by their access. Ask what the access looks like. The answer should include multiple carriers and multiple product types.

How do you decide between an annuity and cash value life insurance for a particular client? A good planner has a clear answer with examples. If the answer is vague or always defaults to one tool, that's a signal.

How do you decide between whole life and IUL for a particular client? Same as above. A good planner can articulate when each tool fits and can give you specific examples.

Can I see an illustration with the death benefit at the IRS minimum and another with the death benefit higher? This is the question that surfaces the commission problem directly. A planner designing for cash accumulation should be able to produce both illustrations and explain why the lower-death-benefit version is better for your situation. If they can't or won't produce both, that's a signal.

What happens to my plan if I retire into a market like 2000 to 2009? This is the sequence-of-returns question. A good planner has a specific answer that involves the architectural protection their plan provides. A planner who handwaves this question, or says something like *we'll just stay the course*, doesn't understand the problem they're being asked to solve.

What happens to my income if my spouse passes away? This is the cliff question. A good planner has run the numbers, shown you the gap, and built protection against it into the plan. A planner who hasn't asked you this question hasn't done the work.

How do you get paid? Asking directly often produces a more honest answer than trying to figure it out from the recommendations. A good planner will tell you exactly how their compensation works on each product they recommend. If they're evasive about compensation, that's a significant signal.

Have you ever told a client you weren't the right planner for them? A planner who's never told anyone no is either lying about it or so generic in their practice that they accommodate everyone, which means they specialize in nothing.

These aren't a checklist to administer like a job interview. They're probes that should naturally surface in an honest conversation. A good planner will welcome them. A bad planner will deflect or dismiss them. Pay attention to the difference.

What Comes Next

If the planner you're talking to passes these questions cleanly, gives specific answers, can produce the illustrations you ask for, and walks you through the architecture rather than the product, you've probably found someone who does the work. If they don't, keep looking.

The next chapter is about the inverse situation. There's a kind of client I sometimes meet who isn't the right fit for what I do, and the right answer is for me to tell them so. The chapter walks through one of those conversations and the lesson it taught me about what good planning actually requires.

Further Reading

How to Read a Whole Life Insurance Illustration

<https://www.insuranceandestates.com/whole-life-insurance-illustration/>

The IUL Implementation Strategy: The 3-4 Year Cash Value Reality

<https://www.insuranceandestates.com/iul-implementation-strategy/>

Top 25 Highest-Rated Insurance Companies

<https://www.insuranceandestates.com/top-25-highest-rated-insurance-companies/>

Chapter 9: Is This Right for You?

A few months ago, a woman called my office. She'd done extensive research on IUL. She'd read articles. She'd watched videos. She'd consulted online forums. By the time she got on the phone with me, she knew more about IUL than most people who walk into my office. She wanted to buy one. She wanted me to design it for her.

I told her no.

Not because there was anything wrong with her or her situation. The opposite. Everything she'd told me about herself, her temperament, her financial profile, and her goals pointed clearly to whole life as the right tool for her, not IUL. She'd researched her way into the wrong conclusion because she'd been reading about IUL specifically, and the more she read, the more she'd convinced herself it was the answer.

The diagnostic doesn't work that way. The diagnostic surfaces what the client actually needs, and what the client actually needs sometimes contradicts what the client thinks they want. My job, as the planner, is to tell them so.

I said something like this to her on the call. I know you've done your research. I know you think you want an IUL. But everything you've told me about yourself describes a whole life client. You want predictable cash value growth. You don't want to think about caps changing. You don't want to wonder whether the index credit is going to be zero or twelve in a given year. You want the boring, reliable, century-old tool, even though you've spent the last three months reading about the more sophisticated one.

She was quiet for a moment. Then she asked why she'd been reading so much about IUL.

I told her. Because the IUL content is what's been getting written. The marketing engine for IUL is bigger right now than the marketing engine for whole life, and the algorithms have been feeding you IUL content because that's what's available. That doesn't mean IUL is what fits you.

She thanked me and said she'd think about it. She called back a week later. You were right. I'm not an IUL person. Are you also a whole life agent, or do I need to find someone else?

I told her I work with both. We built her a properly designed whole life policy. She's been happy with it. She refers clients to me regularly.

The reason I'm telling you that story is that good planning sometimes means telling the client they're wrong about what they want, and being willing to lose the case if they don't accept the diagnosis. If I had sold her the IUL she came in asking for, she would have been the wrong

client in the wrong product, and within a few years she would have been frustrated with the policy and frustrated with me. The agent who would have sold her the IUL she asked for would have made a commission and a future complaint. I made a smaller commission, on a different product, and a long-term client who refers other long-term clients.

That's not unique to her. It happens often enough that it's part of how I think about the practice. Sometimes the right answer for a client is the tool I sell less often. Sometimes it's a tool I don't sell at all, and the right answer is to refer them elsewhere. Sometimes it's no new tool, and the right answer is to leave the existing plan alone with a few minor adjustments.

The reason I'm leading this chapter with that story is that you're now reading the chapter where I tell you whether the kind of planning this book describes is right for you. The honest version of that conversation requires me to be willing to tell some readers no. So I will.

When You Should Do Something Else First

Two situations where the answer is to do something other than pursue distribution-phase planning.

If you're carrying significant high-interest consumer debt, that has to come first. Credit card balances at eighteen or twenty-two percent interest can't be outpaced by any retirement strategy that earns five or six or seven percent. The math doesn't work. If you have meaningful credit card debt or personal loan debt, the work in front of you is paying it down before you build any retirement architecture. Dave Ramsey's advice on debt elimination is good advice. Follow it. Come back to this kind of planning when the debt is gone.

If you don't have an emergency fund, build one. Three to six months of expenses in liquid savings is the foundation everything else gets built on top of. Without it, you'll end up raiding retirement assets when life happens, which defeats the architecture before it starts. Build the emergency fund first. The retirement planning waits.

Those are the two genuine "do this first" situations. If either describes you, the kind of planning this book describes isn't where to start. The work in front of you is something else, and we should talk after that work is done rather than now.

When the Planning Looks Different

Two more situations where the call still makes sense, but the conversation is shaped differently than the typical case.

If you're more than ten years from retirement, the architecture in this book is calibrated for people approaching distribution. You're not there yet. That doesn't mean there's nothing to plan; it means the planning has a different center of gravity. The cash value life insurance layer in particular benefits from a longer ramp, the same tools that take five to seven years to build for a near-retiree have ten or fifteen years of compounding for you, which is a structural advantage. The diagnostic is still worth running. The recommendations track your stage rather than the typical reader's.

If your income is variable in a way that makes consistent funding difficult, between businesses, between careers, in a major transition, the architecture still applies. But the funding structure has to be designed around the variability rather than against it. Some tools work less well with variable funding. Some work fine. The conversation is about which tools fit your cash flow rather than whether to plan at all.

In both cases, the answer isn't don't call. The answer is the call goes differently than it would for a sixty-two-year-old with a stable W-2 income and a retirement date in three years. Either of those readers could be a fit. The diagnostic figures out which.

When This Kind of Planning Is Probably Right for You

The clients who fit the typical case fall into a fairly consistent profile.

You're somewhere between fifty-five and seventy. You're close enough to retirement that the distribution phase is real, with enough time horizon for the tools to do their work.

You have meaningful retirement assets but no clear distribution plan. If you have a few hundred thousand or more in retirement accounts, and your advisor has never walked you through the questions in Chapter 3, you're the reader this book was written for. The gap is real. The architecture closes it.

If you're married, your spouse depends on the household income for retirement security. The cliff is the under-discussed risk in retirement planning, and it lands hardest on couples where one spouse would be financially exposed by the death of the other. The joint-life structures and the cash value life insurance death benefits work together to protect the surviving spouse on the same footing they had before.

You've outgrown the standard advisor playbook. The four-percent rule. The sixty-forty portfolio. The advice to stay the course. If you've heard all of this and you sense it isn't enough, you're right. The standard playbook is calibrated for accumulation, not for distribution, and the

gap between what it offers and what the distribution phase requires is the gap this kind of planning fills.

You value certainty for the part of your retirement that has to work. The architecture in this book trades some upside potential for certainty on the survival floor. If you're someone who values knowing the lights will stay on regardless of what the market does, the trade-off is worth it. If you'd rather have all your assets exposed to the market for maximum potential return and accept the risk that the worst-case scenarios force you to live on less, the trade-off is wrong for you. Most clients I work with are in the first category. Some aren't.

If most of those describe you, the planning is probably a fit. Whether it's the right fit specifically is what the conversation surfaces.

Three Kinds of Readers

By the time you finish this book, you're probably one of three readers.

Some readers have a large gap. The income floor isn't covered. The cliff is unprotected. The portfolio is exposed to sequence risk in a way that would destroy the retirement if the next five years rhyme with the wrong period of history. The architecture would protect against all of that, and the planning is clearly worth doing.

Some readers have a small gap. The income floor is mostly covered by Social Security and an existing pension. The cliff is partially protected. The portfolio is more diversified than most, and the asset level is substantial enough that even a bad market wouldn't threaten the lifestyle. The architecture would refine the plan but not fundamentally change it. The planning is worth doing, but the stakes are lower.

Some readers don't have a gap. They've already done the work. They've already built the floor. They've already protected against the cliff. They've already structured the portfolio appropriately. They don't need new tools; they need confirmation that what they have is working. A short planning conversation gives them that confirmation, and they go back to living their lives.

The diagnostic from Chapter 3 is what tells you which of those three readers you are. The book has shown you the architecture in enough detail to recognize the gaps in your own situation. The actual diagnostic, applied to your specific numbers and your specific spouse and your specific family structure, is something the book can't do. That's what the conversation is for.

What's Next

This chapter has been honest about the situations where the planning isn't right or where it has to be shaped differently. I led with a story about telling a client no because the most important signal I can send about how I work is that I'm willing to do that.

The fact that some clients aren't the right fit doesn't mean most clients aren't. The fact that some readers should put this book down and not pursue this kind of planning right now doesn't mean most readers should. The diagnostic doesn't push everyone toward the same answer. It pushes each reader toward whatever answer fits their situation, and for most readers in the fifty-five-to-seventy range with meaningful retirement assets and a spouse to protect, the answer involves some version of the architecture this book has described.

The way to find out which reader you are is to have the conversation.

The next chapter is about how to do that.

Chapter 10: The Conversation

The book ends here. The conversation, if you decide to have it, starts wherever you are.

Here's what comes next.

What the Conversation Is

The conversation is a sixty-minute strategy session call.

What we do in that hour is the diagnostic from Chapter 3, applied to your specific numbers. I ask the questions. You give me the answers you have. Where you don't have answers, we figure out what we'd need to know to produce them. By the end of the hour, we have a clear picture of where the gaps are in your current plan, what the architecture would look like to close them, and whether the planning is actually a good fit for your situation.

I'm honest in the conversation. If the architecture in this book fits your situation, I'll tell you. If it doesn't, I'll tell you that too.

Some clients move forward after that first call. Some take time to think it over. Either is normal.

How to Schedule

The best way to schedule is to sign up directly on my calendar:

<https://api.leadconnectorhq.com/widget/bookings/insuranceandestates/jasonherring>

Pick a time when you have an uninterrupted hour and your spouse can join if you're married. The conversation works best when both of you are on the call.

You can also call I&E at **877-787-7558** and ask for me, **Jason Herring**.

What to Bring

The conversation is more useful if you come prepared, but you don't need to have everything organized perfectly. Real numbers beat estimates.

Bring your most recent statements for any retirement accounts, including the 401(k), any IRAs (rollover or otherwise), any Roth accounts, and any taxable brokerage accounts. The actual statements are better than your best guess about the balances. If you're married, bring statements for both spouses.

Bring your Social Security statements. The Social Security Administration provides estimated benefits at age sixty-two, full retirement age, and seventy. If you don't have current statements, you can pull them from ssa.gov in a few minutes. Both spouses' statements matter.

Bring any pension information. If you have a pension, you need to know what your monthly benefit is, what the election options are, and whether you've already elected. If the election is irrevocable, that's important to know. If it's still flexible, that's even more important.

Bring a rough estimate of monthly expenses. Not a perfect budget. Just a realistic sense of fixed costs and discretionary spending. We can refine it on the call.

If you have existing life insurance policies, bring those too. The policy itself or a recent statement. If you have one of the policies that was sold to you ten years ago by someone who didn't structure it correctly, the conversation might surface options for what to do about it.

You don't need to have decided anything before the call. You just need to be ready to talk about your real situation, with real numbers, and to hear honest answers about your options.

What to Expect Afterward

If we decide to work together, the planning takes a few weeks.

The first call is the diagnostic. The second conversation, usually a week or two later, is where we walk through specific recommendations with illustrations and projections. The third conversation, if we get there, is where we finalize the structure and start the underwriting process for any new policies.

Once policies are approved and funded, the architecture is in place. Annual reviews after that. The plan isn't static. We revisit it as your situation changes, as carriers adjust their rates and caps, as tax law changes, as your life evolves. Distribution-phase planning isn't set-it-and-forget-it. It's a working relationship, and the work is what produces the outcomes.

The clients I've been working with for five or seven or ten years are the ones whose plans actually deliver, because the planning kept up with them as their situations changed.

Whatever you do next, do your own homework. Don't follow the herd. The herd is following the people who get paid the most when you stay in the herd, which is why the herd never seems to be heading anywhere good for the people in it. The conventional advice — the four-percent rule, the stay-the-course mantras, the assumption that an accumulation plan is also a distribution plan — is the herd. Some of it is right for some people. Most of it is incomplete for most people who are anywhere near retirement.

The way out of the herd isn't a different herd. It's a planner who works with the actual tools and matches them to your actual situation. That planner might be me. It might be someone else who works the same way. The important thing is that the planner be honest about what the tools do, willing to tell you when one of them isn't right for you, and clear about how they get paid and why they're recommending what they're recommending.

The cost of the wrong planner is twenty or thirty years of compounding underperformance. You don't have those years to spare.